

Corporate Responsibility Report

2024



KEMPER

INDEX



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Who We Are

The Kemper Corporation (NYSE: KMPR) family of companies is one of the nation's leading specialized insurers. With approximately \$13 billion in assets, Kemper is improving the world of insurance by providing affordable and easy-to-use personalized solutions to individuals, families and businesses across its Kemper Auto and Kemper Life brands. Kemper serves over 4.8 million policies, is represented by 22,500 agents and brokers, and has approximately 7,700 associates dedicated to meeting the ever-changing needs of its customers. We take a holistic approach to how we engage with customers, employees, shareholders and communities, and we focus on areas that have the most impact on these stakeholders. This includes the environment, how we attract, develop and retain talent, and how we lead and govern our organization. We believe this thoughtful and focused approach strengthens who we are as individuals and as an organization.



CEO Message



Joseph P. Lacher, Jr.
President and Chief Executive Officer

Kemper's ownership culture is the cornerstone of our sustainability approach. We have an obligation to our stakeholders to operate responsibly, with a focus on improving our communities through a continued emphasis on Corporate Responsibility (CR). In doing so, we seek to be a trustworthy business partner to our customers, an attractive option to investors, and an employer of choice in a competitive labor market.

Building on the accomplishments of our previous efforts, we have successfully moved the dial on several initiatives. These include conducting a comprehensive climate risk assessment, formulating an Environmental Approach and multi-year environmental strategy, and bolstering our disclosure practices to include disclosures guided by the framework provided by the Task Force on Climate-Related Financial Disclosures.

You can read more about these topics in this report. Reflecting on Kemper's accomplishments, I am proud of everything we have achieved. I hope this report provides a better understanding of our commitment to sustainability and how we are maximizing the positive impact for our stakeholders.

A handwritten signature in black ink, appearing to read "JPLacher". The signature is fluid and cursive, with a large, stylized "L" at the end.

Corporate Responsibility Governance

Kemper’s commitment to incorporating sustainability into business, operational and financial strategies reflects a focus on long-term stability and value creation for stakeholders. The Governance Committee of Kemper’s Board of Directors monitors the Corporate Responsibility Program.

The Corporate Responsibility Steering Committee is a management level committee and sets the overall direction of the Corporate Responsibility Program, aligning initiatives with the company’s objectives, and guiding program execution. The Corporate Responsibility Program Office (PMO Group), in partnership with subject matter experts across the organization, oversees the day-to-day implementation, development and application of best practices, and reporting on corporate responsibility performance.

In 2022, Kemper conducted an analysis to prioritize the topics of greatest importance and relevance to our industry and key stakeholders. Partnering with a recognized leader in corporate responsibility strategy and services, the analysis was based on a series of internal interviews, peer analyses, and reporting frameworks such as the Global Reporting Initiative (GRI) and the Sustainability Accounting Standards

Board (SASB). This analysis was refreshed in 2023 to ensure ongoing alignment of our corporate responsibility priorities. Going forward, we will continue to periodically update the analysis to maintain its relevancy. This report is issued in conjunction with our SASB index.

By embracing industry standards and refreshing our areas of focus, we emphasize our commitment to responsible corporate stewardship, shareholder value creation, and long-term stability.



Kemper’s Key Areas of Focus for Corporate Responsibility



**ENVIRONMENTAL**

- **Energy Efficiency and Waste Management**
- **ESG Product Features**
- **Climate Risk Management and Enterprise Risk Management**



**SOCIAL**

- **Human Capital Development**
 - Employee Engagement and Culture
 - Talent Management and Development
 - Health and Wellness
- **Diversity, Equity and Inclusion**
- **Philanthropy and Community Support**



**GOVERNANCE**

- **Governance and Ethics**
 - Corporate Governance
 - Ethics and Compliance
 - Anti-Money Laundering
 - Human Rights
 - Health and Safety
 - Executive Compensation
- **Data Security and Privacy**
- **Customer Experience**



Environmental

We are committed to responsible environmental management and conservation of resources. Our environmental programs are focused on reducing waste, managing energy consumption, and minimizing climate risk. This focus has delivered improvements in energy efficiency across our business footprint.

Energy Efficiency and Waste Management

Kemper is committed to mitigating climate change, conserving natural resources, and taking steps to reduce our overall carbon footprint. We understand our responsibility to the environment and have developed a multi-year environmental approach that represents our commitment to sustainability. In evaluating our business operations, we identified key areas that have environmental impacts. This includes our scope 1, 2 and 3 greenhouse gas emissions.

Kemper's environmental approach is structured to drive impactful change in addressing climate change, while aligning to our overall enterprise strategy. The following key components constitute our approach:

1. Measuring Greenhouse Gas (GHG) Emissions:

We estimate scope 1 and 2 GHG emissions for 2023 are approximately 11,000 metric tons of CO₂e. To enhance efforts, we are expanding our estimates in 2024 to include scope 3 emissions, enabling us to consider reduction goals in the future. Total energy consumption in 2023 was estimated at approximately 23,177 MWh.

2. Setting Goals:

Our environmental goals are integrated with our broader corporate responsibility objectives. We focus on key priorities such as the well-being of our company and communities and complying with regulatory requirements. Accurate emission measurements will allow us to consider future greenhouse gas reduction goals.

3. Prioritizing Climate Initiatives:

In pursuit of our goals, we continuously develop and evaluate climate initiatives. To ensure effective governance and oversight, we have established a corporate responsibility steering committee responsible for assessing and approving new initiatives through the lens of our environmental approach.



Examples of Existing Climate Initiatives



Energy Efficiency: We seek opportunities to reduce our carbon footprint and enhance energy efficiency across our operations. As of 2023, we lease or own over 150,000 square feet of LEED-certified (Leadership in Energy and Environmental Design) and/or WELL Health-Safety Rated (WELL HSR) space. As we consider our overall office space plan, we consider these certifications and utilize efficient and renewable energy sources, including installation of solar panels.

Waste Reduction and Green Workplace Initiatives: Eliminating the use of non-eco-friendly in-office materials, reducing non-biodegradable waste, and implementing recycling programs are essential components of our strategy. Through various initiatives, we encourage employees to recycle in-office materials, use reusable receptacles for drinking water, conserve electricity, minimize printing, and opt for sustainable transportation options. Waste reduction efforts include implementation of plans to significantly reduce paper usage and plastics in our lunchrooms and break rooms. We do not generate hazardous waste due to the nature of our business.



Responsible Environmental Management: For non-owned buildings, we engage with property owners and operators to use responsible environmental management practices. We explore options to incorporate solar energy into the design of our company-owned facilities, further reducing energy consumption.

Sustainable Procurement: Kemper considers sustainability in our purchasing practices and works with vendors to track and report key environmental indicators. For instance, our travel partner tracks indirect greenhouse gas emissions for air travel and rental car providers. We also assess environmental risks and opportunities within Kemper's supply chain and purchasing operations. For example, we prioritize sourcing printer paper from well-managed forests and recycled materials, as a part of sustainable procurement practices.



Responsible Fleet Management: Kemper operates and manages a fleet of approximately 330 vehicles to support sales and customer service. To minimize emissions, we utilize new vehicle models with improved fuel economy and reduced CO₂ emissions, and receive regular reports by our leasing partners that track these metrics.

Community Engagement: Utilizing our social media and website platforms, we share educational information and resources for natural resource conservation, engaging with our customers and communities to drive environmental awareness and collective action.



Insurance Product Features

Kemper's Environmental Approach includes product and service offerings that promote sustainability throughout the supply chain, encompassing insurance products tailored for renewable energy, eco-friendly vehicles, and coverage against climate-related risks. Examples of these types of product offerings include:



Auto Customers: Kemper Co-Pilot™

Telematics application that automatically detects when driving starts and stops and uses the phone's sensors to measure vehicle driving dynamics; uses low-power sensing methods to reduce battery consumption, displays trip summaries and details on maneuvers, and provides useful feedback to become a better driver and potentially receive premium discounts for responsible driving behavior.



All Customers: Paperless Discount

The insured can choose to have all policy and billing documents electronically transmitted, in turn receiving a premium discount and eliminating the use of paper.

By focusing on these types of initiatives, Kemper aims to contribute positively to the environment while providing valuable customer solutions.



Climate Risk Management

At Kemper, we recognize the significance of climate change and its potential impacts on the environment, communities, and businesses. We are committed to understanding and addressing climate risks to advance the long-term sustainability of our operations and the well-being of our customers.

Climate Risk Approach: Overview

- 1. Risk Assessment and Mitigation:** We conduct risk assessments for our insurance exposures to identify potential climate-related hazards and vulnerabilities. We analyze various factors such as changing weather patterns, sea-level rise, extreme events, and other climate-related data. By understanding these risks, we have developed strategies to mitigate and manage them.
- 2. Insurance Offerings:** We provide insurance products that consider climate risk and offer coverage to individuals and businesses in areas prone to climate-related perils. This includes coverage for events like wildfires and other weather-related incidents. We strive to support and protect our customers in times of climate-related crises.
- 3. Customer Education:** We educate our customers with information on climate risk and mitigation steps. Through various communication channels, we provide information on preparing for and reducing the impact of climate-related events. This includes tips on topics such as disaster preparedness, eco-friendly practices and purchasing electric vehicles that contribute to climate change mitigation efforts.
- 4. Sustainable Business Practices:** We actively pursue sustainable business practices, including energy efficiency, waste reduction, and responsible resource management. By implementing eco-friendly initiatives within our operations, we aim to lead by example and contribute to a more sustainable future.
- 5. Enterprise Risk Management:** Climate risks are assessed by Kemper's Enterprise Risk Management (ERM) team annually and are incorporated into the framework on page 11. For more information on enterprise risks and mitigation efforts, see our 10-K [here](#).



Enterprise Risk Management Framework

Governance/Risk Culture	Kemper utilizes a comprehensive model executed through the coordinated activities of the Board of Directors, Enterprise Risk Committee (ERC), ERM, risk management functions within business operations, and internal audit.
Risk Identification	Risks are identified through periodic meetings and ongoing senior leadership dialogue.
Risk Assessment	Risks are assessed through quantitative models and senior leadership evaluations.
Risk Appetite	Kemper's Risk Appetite statement guides risk-taking decisions and is monitored monthly.
Risk Monitoring	ERC has established sub-committees to facilitate the monitoring of key risks.
Risk Communication	Risk information is communicated internally and externally as appropriate.

In 2023, Kemper performed a comprehensive climate risk and opportunity assessment, conducted in collaboration with external experts and guided by the framework provided by the Task Force on Climate-Related Financial Disclosures (TCFD).

The climate risk assessment was composed of a line of business (LOB) risk assessment and a segment risk assessment. We evaluated physical and transitional risks across all LOBs and segments, and incorporated the results into our enterprise risk assessment.

The opportunity assessment was executed at an enterprise level and identified various opportunities relevant to the Kemper business as a whole. These opportunities were assessed and, where applicable, integrated into our overall climate initiatives.

Underwriting

Kemper integrates the effects of climate change into the underwriting process through the following methods:

1. Risk Assessment: We assess climate risk by analyzing various factors such as historical weather data, climate projections, and geographic vulnerability. These analyses evaluate the likelihood and severity of climate-related perils, including hurricanes, floods, wildfires and storms, in specific regions.

2. Pricing: We adjust our pricing based on the perceived climate risk where appropriate and consider factors such as proximity to coastlines, flood zones, wildfire-prone areas, and historical claims data.

3. Underwriting Guidelines: We have established underwriting guidelines that consider climate risk, outlining specific criteria for accepting or rejecting risks such as location, standards and resilience measures.

4. Risk Mitigation: We encourage policyholders to take steps to mitigate climate risk by providing incentives or discounts for implementing measures that reduce vulnerability to climate-related perils.

5. Reinsurance and Catastrophe Modeling: To manage our exposure to climate risk, we utilize reinsurance to help manage large-scale losses resulting from climate-related events. We use catastrophe modeling tools to estimate potential losses and inform our underwriting decisions.

6. Monitoring and Adaptation: We monitor climate-related trends and adjust our underwriting practices accordingly. As climate risk evolves, we update our guidelines, pricing models, and coverage offerings to ensure alignment with emerging risks.



Social

Kemper's success is driven by our most important asset, our employees. We promote a culture and provide a platform where employees can own their career, offering opportunities to learn, develop their skills, and advance their careers. We are committed to equal pay, and an inclusive and equitable work environment. Our focus on sustainability across our businesses and support to our communities helps us attract, motivate and retain the best people.



Employee Engagement

Kemper utilizes a thoughtful approach to positively impact the connection between our employees and the workplace. Our hybrid work environment prioritizes purposeful time in the office where engagement through collaboration sessions, team meetings, and training programs are optimized. Leadership team members hold regular in-person and virtual town hall meetings to communicate progress on key priorities and initiatives, share company and team member news and events, and answer employee questions.

We have a regular cadence for collecting employee feedback to assess engagement and satisfaction, particularly in the areas of workplace experience, communication, total reward programs, and other key drivers for individual contributors, managers, and leadership. We use multiple tools to gather this information, including annual engagement surveys, targeted audience pulse surveys, annual communication satisfaction surveys, post-event surveys for town halls and other leader-led meetings and employee focus groups. In 2023, we completed over 30 employee surveys and more than doubled our employee focus groups and culture chats to 75. These various methods of gathering feedback enable a consistent mechanism to gain valuable insights on areas of strength, opportunities and improvement.

Our annual engagement survey results reflected scores above the external benchmark for a second straight year. Examples of specific areas where ratings are materially above comparative standards are collaboration, career progression, supportive management, communication, recognition, strategic alignment, ethics and culture. Engagement scores for these metrics were 80% or higher, reflecting the strong foundation we have built around our “act like an owner” culture.

Engagement survey results are communicated in a phased approach. After the survey closes, the CEO shares participation stats, high-level results, and next steps in an all-employee town hall meeting. Next, HR shares the results with leadership, providing in-depth detail and analysis, and aligns on next steps. Focus groups may be added at this point for further feedback to clarify or expand on specific survey results. Each business and corporate leader then communicates results and key take-aways to their teams and moves forward to implement next steps.

Human Capital Development

Kemper’s ability to deliver on our commitments is dependent on our capacity to identify, attract, develop and retain a robust pipeline of talent, capable of supporting the changing needs of our business. This is best accomplished in a high-performance, inclusive culture where each employee is fully engaged. Such an environment is built on a foundation of leadership and professional competencies that reinforce our ownership culture and foster the maximum contribution of our employees. Our goal is on creating a direct line of sight from our employees’ individual efforts to their team, department, business and, ultimately, Kemper’s enterprise-wide business goals. To achieve these goals, we prioritize the following:

- Talent Acquisition
- Leadership, Learning and Development
- Performance Management

Talent Acquisition

We believe a diverse workforce is important to impart distinct experiences, viewpoints and opinions to achieve greater insights, better decisions, and improved performance and outcomes. We have increased our focus on attracting diverse talent and improved our processes to ensure our hiring programs and recruitment agency partnerships yield diverse representation. In addition, we utilize agencies that specialize in bilingual candidates to better meet the needs of the Latino/Hispanic market, a key demographic we serve in our specialty Auto business.



Leadership, Learning and Development

We seek to address the enterprise-wide learning needs of our employees by implementing processes that help employees identify their current performance proficiencies, diagnose their development needs, and chart their path for professional growth. We create compelling development opportunities to enable employee growth. In addition to individual development, we support team development with creative, team-focused solutions utilizing leading practices in organizational development and change management. We utilize various modalities and design approaches to support employee learning and development in the ever-changing work landscape through virtual, in-person and on-demand formats. We emphasize leadership capabilities across the spectrum of talent segments from individual contributors to senior leaders. Examples of opportunities offered to our employees include:

Lead Like an Owner

Kemper's leadership development and capability approach continually grows and uplifts Kemper leaders to enable the Company's long-term growth. Lead Like an Owner is our core leadership philosophy, and our leadership curriculum is anchored to Kemper's Act Like an Owner workplace culture and leadership competencies. Our leadership programs provide a roadmap of opportunities to expand our employees' capacities to lead themselves and others in their respective spheres of influence.

Manager Fundamentals

This comprehensive program is designed to build the core competencies and critical capabilities of new front-line supervisors and managers, to help them develop into strong leaders and create a foundation for the future. The program connects to Kemper's core leadership philosophy, Lead Like an Owner. Specifically, we introduce the key tenants of leadership across all of Kemper's leadership levels: Leading Self, Leading Others, Leading the Organization. The program focuses on improving confidence in working with new teams, leadership self-awareness, emotional intelligence, inclusivity and coaching skills, which help improve employee engagement and retention. In addition, we strive to build skills that drive better business outcomes such as leading through change, delegation, time management, problem solving, and decision making.



Own Your Career (OYC) Workshops

Kemper's core training and development program is designed to advance a culture of ownership, and enables all Kemper employees to drive their own professional development in their key competencies. The program provides live learning opportunities, self-paced online trainings, and articles and videos that offer valuable guidance on how to enhance work performance. Each month a different competency is highlighted.

Own Your Career Development Guide

The OYC Development Guide is a resource to help employees build momentum for advancing their careers through self-assessment, goal setting, development planning, and follow up. The guide provides a framework for employees to own their career development and drive personal accountability for development.

Claims Training

The Claims Training Development Program helps claims professionals to improve customer service and efficiency, and ensure customer interaction delivers on our promises of outstanding value, exemplary service, and timely results. This program helps to advance a corporate culture built on ownership, structured accountability, and positive employee engagement that meets our customers’ expectations.

The Kemper Claims Technical Resource Guide

This guide is a resource for claims professionals that provides a detailed framework to reinforce claim handling skills, driven by a “customer first” mentality.

MBA Leadership Development Program (LDP)

A rotational program for students completing an MBA, LDP offers an opportunity to combine professional background, academic skills, and knowledge of our business gained through formal and on-the-job trainings to move toward a management career at Kemper. Throughout the program, students have ongoing professional development, interaction with senior management, and challenging assignments.

Tuition Assistance Program (TAP)

Kemper understands the unique learning and development needs of our employees. We encourage employee self-development and participation in educational activities to further enhance skills, expertise and growth potential within the organization. The TAP provides financial assistance to allow employees to increase knowledge, skills and abilities to advance long-term career goals.

The TAP aids with the following types of education:

- University academic coursework
- Insurance-related courses and professional designations
- Non-insurance-related courses and professional designations tied to the individual’s functional area

Learning and Development Data Snapshot in 2023	
Total number of training hours completed:	66,000
Examples of categories and hours included:	
Onboarding	12,000
Claims	11,000
Professional Development	6,000
Compliance	2,000

*numbers are approximate



Talent Development

At Kemper, we reward high performance through our competitive benefits and total compensation package. Annual goal setting and performance management processes establish and align performance goals that achieve business objectives and help employees identify short- and long-term career development opportunities. Our performance management process is anchored in Kemper's leadership and professional competencies to advance ownership culture.

Examples of our commitment to making Kemper a place where people can be their best selves and perform their best work include:

IMPACT Employee Recognition Program

At Kemper, we believe those who make positive impressions for the greater good should be encouraged and recognized. IMPACT, our employee recognition program, celebrates and rewards employees for their contributions to Kemper's success. The recognition program acknowledges our employees' exceptional acts in demonstrating Kemper's ownership culture, and ability to help drive company goals and deliver on our commitments, including:

- Providing outstanding customer service to a policyholder
- Identifying and solving problems early to ensure goals are achieved
- Implementing a new way to reduce expenses
- Identifying a new technology that makes a process more efficient
- Using constructive feedback and collaborating with others to find solutions
- Challenging old assumptions based on new market insights
- Using tools already available to create a new advantage for Kemper

Kemper employees can recognize their peers, managers, direct reports, or anyone across the enterprise who makes an IMPACT to the organization.



Health and Wellness Employee Benefits

 EMOTIONAL WELL-BEING	 FINANCIAL WELL-BEING	 PHYSICAL WELL-BEING	 SOCIAL WELL-BEING
Emotional well-being is awareness of your thoughts, feelings and behaviors. It includes your ability to manage your emotions, stress, anxiety and depression, and enhance resilience.	Financial well-being is having a sense of security that comes with managing your money to meet your needs and feel secure about your financial future.	Physical well-being expands beyond wellness to having the ability to make daily choices that allow you to thrive while avoiding diseases and injury.	Social well-being is your ability to develop meaningful relationships at home and work. It involves your connection to others who share your value system, traditions and beliefs.

Kemper takes a holistic approach to benefits that goes beyond traditional programs. We consider our employees’ overall well-being across a spectrum of four pillars—Emotional, Financial, Physical and Social—to ensure our employees have the right tools to thrive.

This comprehensive approach to well-being allows us to identify the right tools and resources to thrive. Additionally, we periodically reassess our employees’ needs by launching company-wide benefit surveys to gauge trending needs and adjust benefits accordingly.

Emotional Well-Being

Our emotional wellness offerings provide employees with tools to successfully navigate their emotional lives, making mental health a priority. The Employee Assistance Program (EAP), provided by a third party, offers free short-term mental health counseling, legal and financial consultation, work-life assistance, and crisis intervention services to all Kemper employees and their household family members. Employees enrolled in our national medical plan offering also have access to personal health guides to assist with all their health and care needs.

Financial Well-Being

We offer a comprehensive financial benefits package including voluntary accident, critical illness, hospital indemnity and whole life insurance, a health savings account, healthcare and dependent care flexible spending accounts, employer-paid life and AD&D insurance, an Employee Stock Purchase Program, and a 401(k) retirement savings plan with an employer match. We are committed to paying a living wage to our full time employees to assist employees with their financial needs, Kemper provides direct access to financial experts through the EAP program.

Physical Well-Being

Kemper provides a variety of medical plan options as well as dental and vision plans. As an added benefit, we offer access to supplemental condition management programs through the national medical plan to provide access to unique benefits. For example, Hinge Health is a digital solution providing virtual physical therapy, and self-help tools and resources, for back and joint pain to help decrease pain while increasing mobility and reducing surgical needs.

Wondr Health is a digital behavioral change program that teaches clinically proven weight loss management skills and reduces the incidence of metabolic syndrome. Livongo is a personalized health program to help manage diabetes, pre-diabetes, hypertension, and other health goals like managing weight, stress and more. All are available to employees on the national medical plan.

Social Well-Being

Ensuring our employees are developing and maintaining a healthy life inside and outside of work provides a workforce that is well-adjusted, engaged and driven to high performance. We offer a variety of benefits through the lens of social well-being, including a generous PTO program to take time off for any reason, flexible work-life schedules and arrangements, paid parental leave for bonding with a new child, and assistance with finding child, elder or pet care through our EAP program. In addition, Kemper offers opportunities for employees to spend time together and build relationships through events and activities planned by our philanthropy team and a number of Employee Activity Committees in offices across the enterprise.

Diversity, Equity and Inclusion (DEI)

Creating an environment that is diverse, equitable and inclusive is imperative to the success of our company. Our customer segments comprise a highly diverse and underserved population with specific insurance product needs.

Customers often need to communicate in other languages and require unique, customized and affordable financial solutions. One criterion in our recruitment strategy is to reflect the diversity of our customer base. For example, many of our employees are bilingual to better serve the Latino/Hispanic community—a key market for our Auto business—in their familiar or primary language.

Cultivating a welcoming and inclusive work environment that allows employees to thrive by being their authentic selves is part of our culture. Over the past five years we have enhanced the diversity of our workforce.

Our ownership culture integrates with our focus on creating a sense of belonging and provides our employees the opportunity to reach their full potential while contributing to the success of the company.

We regularly review our DE&I initiatives to determine where we have opportunities to expand and further embed our principles into the organization. Senior leadership receives regular updates on DE&I strategy, initiatives and progress. We continue to evaluate the effectiveness of our diversity initiatives through employee engagement surveys and culture conversations with our employees.



Our DEI Program is Built on the Following Foundation:

 WORKPLACE	 WORKFORCE	 MARKETPLACE
Maintain an inclusive workplace culture where all colleagues believe they can own their career while contributing to the success of the company.	Our workforce reaches its fullest potential by attracting, developing and retaining diverse talent.	Our business growth in the marketplace is driven by our ability to elevate the Kemper brand in diverse communities throughout our footprint.

Workplace

- Newly designed diversity training was launched to ensure all employees and leaders gain greater awareness of their blind spots and unconscious biases.
- We have implemented a robust internal and external communications strategy to celebrate and increase awareness of our unique cultural and heritage areas among our employees.

Workforce

- We celebrate that the majority of our workforce is racially and gender diverse as a result of our recruiting efforts, employee referrals, and inclusive work culture.
- In 2021, The Kemper Foundation launched the next generation Kemper Scholars Program (see Philanthropy section) that supports Kemper’s overarching philanthropic and local market efforts. Kemper has committed to providing over 325 internships to Kemper Scholars from our Historically Black Colleges and Universities (HBCUs) and Hispanic-Serving Institution (HSI) partners over the next five years. Increased engagement with HBCUs and HSIs will allow us to provide meaningful early career opportunities for high potential, diverse college students, who have an interest in business, insurance and finance careers.

Marketplace

- We continue to provide community development programming support to the National Urban League and Unidos US. organizations that support two of our key demographic customer markets. Our strategic partnership was launched during the pandemic, when we provided \$1 million for relief-related programs to those who faced greater exposure to COVID-19 in underserved communities across the U.S.
- A new Supplier Portal was launched that improves the diverse vendor identification process and on-boarding. This will serve as the precursor for our forthcoming supplier diversity program.
- We fund on-campus DEI organizations and faculty research at our HBCU and HSI partner schools through our philanthropic partner, The Kemper Foundation.
- We served as co-sponsor of Notre Dame’s Mendoza College of Business DEI Grow the Good in Business Case Competition. Undergraduate and graduate students were provided the opportunity to research and present their ideas for improving financial inclusion in underserved communities.

We are proud of the progress we have made to date and look forward to building on our successes. Ultimately, Kemper should be a place where employees feel a sense of belonging and our customers feel heard and understood.

Philanthropy and Community Support

Kemper is dedicated to supporting the development of resilient and thriving communities where our customers and employees live and work. We help build stronger communities by focusing our support on education, health and community development, through our owned programs, national partnerships, financial donations and generous employee volunteerism.



In 2023, the total impact of our philanthropic efforts was \$3.1 million. In collaboration with our philanthropic partner, The Kemper Foundation, we provided \$2.4 million to local organizations through donations, grants and sponsorships. Our employees alone contributed over \$84,000 to local charities through our matching gift program and dedicated nearly 3,000 hours to volunteering in their communities.

2023 Community Impact by the Numbers

In 2023, the collective impact of our philanthropic efforts

- \$1.1M** in donations to our health partners
- \$1.5M** in donations to our education partners
- \$377K** in donations to community development organizations
- \$95K** in volunteer hour impact value in our communities

was \$3.1 million and included:

Education

In partnership with The Kemper Foundation, we provide financial support to the next generation of talent and business leaders as well as to education programs that advance bilingual literacy in Hispanic and Latino children and families.

Kemper Scholars Program

The Kemper Scholars Program partners with 10 universities, including six Historically Black Colleges and Universities and Hispanic-Serving Institutions to deliver need-based scholarships, funding for on-campus organizations, and support for diversity, equity and inclusion academic

research. In 2023, the program awarded over \$1.1 million in scholarships to diverse, promising college students, including faculty research grants. The program also partnered with Kemper corporate offices across the country to offer over 50 internships to Kemper Scholars.

Read Conmigo Bilingual Educator Grant Program

Since 2022, the Read Conmigo grant program has empowered bilingual educators and their Latino and Hispanic elementary students. The program helps teachers provide engaging and equitable learning experiences for their students by providing \$3,000 grants to assist them with classroom resources, tools, materials and professional development. Grant recipients report measurable improvement in students' bilingual literacy skills and classroom engagement, observed in both formal and informal assessments.



In 2023, the Read Conmigo grant program awarded a total of \$300,000 to bilingual educators in the Dallas, Los Angeles and Miami areas. The program has provided over \$600,000 in grants since 2022.

Health

Kemper provides funding for leading national organizations at the forefront of medical research, improving patient and caregiver outcomes, and advancing health and wellness education to make substantial progress on the nation's most prevalent diseases.

American Cancer Society

Kemper is a proud supporter of the American Cancer Society and their work to improve the lives of people with cancer and their families through advocacy, research, and patient support. Kemper employees organized several fundraisers for mission-driven events in 2023, including Making



Strides Against Breast Cancer, Men Wear Pink, and Relay for Life. They also gave their time to support Hope Lodge® communities, which offer a home away from home for people facing cancer and their caregivers when cancer treatment is far away. Additionally, Kemper was a sponsor of ACS' Discovery Ball, Taste of Hope, and Walk & Roll, the longest running cancer fundraiser in Illinois. In 2023, our collective impact totaled approximately \$500,000.



In Jacksonville, FL Kemper employees raised money for essential type 1 diabetes research and advocacy by taking part in JDRF's One Walk Jacksonville.

JDRF

Kemper partners with JDRF, the leading international organization advancing life-changing discoveries for type 1 diabetes (T1D). In 2023, through employee volunteerism and charitable contributions, we supported JDRF's Spanish Care Kit program, a free resource offering support and information



to more than 2,000 newly diagnosed Hispanic and Latino children, caregivers, and

adults. Other programs we supported included the JDRF One Walk and T1 Detect, a screening and education awareness program that reached 1,100 healthcare professionals. In 2023, our collective impact totaled approximately \$390,000.

American Heart Association

Kemper is proud to support the American Heart Association's work to fight heart disease and stroke, with the goal of saving and improving lives. In 2023, the Association's Nation of Lifesavers initiative supported emergency cardiovascular care, including the distribution of CPR Anytime and Anywhere kits in at-risk communities.



American Heart Association®

Our support helped the Go Red For Women movement improve women's lives globally and raise awareness of women's heart health. Employees at Kemper also rallied for heart health in 2023 by participating in National Wear Red Day to increase awareness of heart disease in women, organizing fundraisers for events like the Heart Walk and distributing heart-healthy meals during the holidays. Our collective impact in 2023 was nearly \$120,000.

Community Development

We partner with organizations that share our values in creating a better world for our employees, customers and our communities. We believe access to healthy food, affordable housing, and support for organizations that advocate for civil rights, and racial and economic justice, are crucial to building an equitable future.

In 2023, Kemper supported Feeding America partner food banks in 11 cities across the U.S. Through charitable contributions totaling more than \$100,000, we helped distribute 341,000 pounds of food and provided 383,000 meals. We also continued support for two key national civil rights organizations: the National Urban League and UnidosUS, by funding programs and services to advance equality and improve economic progress for Hispanics and Latinos, and African Americans. We supported initiatives such as UnidosUS' Financial Empowerment Network and the HOME: Home Ownership Means Equity initiative, in addition to the National Urban League's education programs that promote youth entrepreneurship and empowerment.



Kemper Cares: Employee Volunteering and Giving

At Kemper, we enable opportunities for our employees to use their skills and backgrounds to give back to the communities in which they live and work. Employees can take part in our 1:1 matching donation program, including 2:1 match days for initiatives like Giving Tuesday, and virtual and in-person volunteer opportunities for Kemper-sponsored community service events and those in which they have a personal interest. Thanks to the Kemper Cares program, committed philanthropy ambassadors, and our generous employees, we make a real impact on the communities we serve, whether through fundraising for a worthy cause or volunteering for a local charity.



3,000
Volunteer hours logged



\$156K
Total giving (employee donations plus matches)



110
Company-sponsored community support events

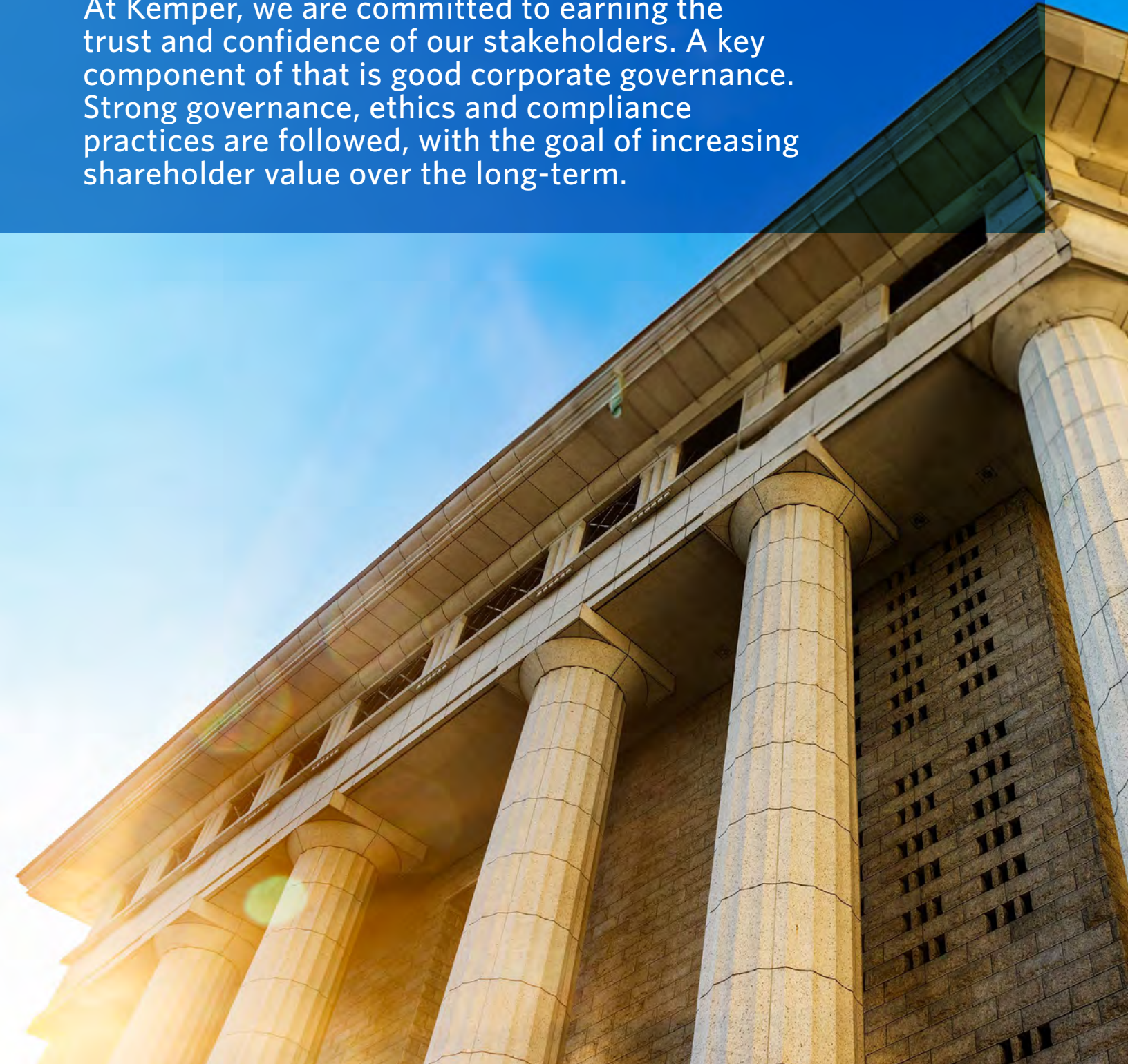


Kemper employees in Alpharetta, GA volunteered their time, energy and enthusiasm during a food drive for Meals by Grace, a local organization focused on relieving food insecurity.



Governance

At Kemper, we are committed to earning the trust and confidence of our stakeholders. A key component of that is good corporate governance. Strong governance, ethics and compliance practices are followed, with the goal of increasing shareholder value over the long-term.



Corporate Governance

The Kemper Board of Directors is responsible for providing oversight of the strategic and operational direction of the company. To provide a framework for effective governance, our Board has adopted [Corporate Governance Guidelines](#) that outline the operating principles, composition and working processes of our Board and its committees. The Governance Committee of the Board periodically reviews our Corporate Governance Guidelines, along with trends and developments in corporate governance, and recommends changes as appropriate. Our Corporate Governance Guidelines and other governance-related documents are available [here](#).

The Board of Directors is currently composed of 10 directors of whom nine are deemed independent under NYSE standards. Members of our Board have diverse experience across a broad range of industries and their complementary skills and viewpoints strengthen the Board’s oversight of the company on behalf of our shareholders. Our Board member biographies can be found [here](#). The Board has a committee structure to facilitate Board actions required for the operation of a public company. The Board has committees for Audit, Governance, Human Resources and Compensation, Investment, and Risk. Charters for each of these committees can be found [here](#).

Members of the Board of Directors are elected on an annual basis and their elections are based on a majority vote standard with a plurality carve out in the case of contested elections. All shares of Kemper stock are entitled to one vote. We believe a diverse Board of Directors brings unique perspectives to our organization, and we are committed to maintaining gender and racial diversity on our Board. The Governance Committee evaluates potential nominees for directors against a list of attributes, as stated in our Corporate Governance Guidelines. Key criteria that the Committee considers are qualities that contribute to the Board’s diversity of experience, gender, race, and age such that the Board has a diversity of perspectives as well as a balance of skills and experience.

DIRECTOR ELECTIONS

Annual

BOARD INDEPENDENCE

9 out of 10 directors are independent

90%

BOARD DIVERSITY

3 out of 10 directors are women

30%

4 out of 10 directors are ethnically diverse

40%

DIRECTOR SUPPORT IN 2023 YEAR

91.1%

Average “FOR” support

BOARD COMMITTEES

All committees chaired by independent directors

SHAREHOLDER ENGAGEMENT

Multiple channels and opportunities are utilized throughout the year to ensure sustained shareholder engagement

CORPORATE RESPONSABILITY PROGRAM MATTERS

Monitored by the Governance Committee

STOCK OWNERSHIP POLICY

CEO: **5X** of annual salary
Other NEOs: **2X** of annual salary
Independent Directors: **5X** the retainer of non-chair members

Ethics and Compliance

It is Kemper's policy to conduct business on an ethical basis in full accordance with the law. Kemper's Essential Standards of Conduct (ESOC) program provides a framework and guidance to employees on our corporate values and how to conduct business in an ethical manner. Kemper conducts annual ESOC training for all employees and tracks assigned and completed courses. Our ESOC program consists of four core components:

1. **The Code of Business Conduct and Ethics** is approved by our Board of Directors and addresses, among other things, conflicts of interest, business anti-corruption, bribery, record maintenance and retention, fair competition, legal and regulatory compliance, political activity, employment practices, safeguarding of company assets, and maintenance of trusted confidences.
2. **The Multimedia Code of Conduct** gives guidance on proper usage of electronic and digital devices, networks and platforms, including information security and safeguarding the confidential information we receive from customers, employees and other stakeholders.
3. **The Anti-Harassment Policy** sets the tone for a workplace that is free of harassment and is respectful of colleagues, customers, and vendors.
4. **The Insider Trading Policy** prohibits the buying or selling of Kemper stock, or the stock of companies we do business with, based on material, nonpublic information.

Anti-Money Laundering Program

Our Kemper Life business offers certain products covered under the Money Laundering Abatement Act, Anti-Terrorist Financing Act, and U.S. Treasury Department regulations to individuals seeking insurance protection for themselves and their families. These products are distributed through captive agents, have modest average face amounts, and the applicable premiums are typically paid monthly. It is the policy of Kemper Life to prohibit and seek to actively prevent money laundering and any activity that facilitates money laundering or the funding of terrorist or criminal activities. Kemper Life has established an Anti-Money Laundering (AML) Program with respect to its covered products. As part of this program, AML training is conducted regularly, and a process is in place to report suspicious activities.

Human Rights

Kemper is committed to being a responsible, impactful corporate citizen that respects human rights and the protection of those rights. In addition to local, state, and federal laws and regulations, our operations and activities are guided by the spirit of the [Universal Declaration of Human Rights adopted by the United Nations](#). We emphatically support the elimination of human trafficking, modern slavery, and harmful and exploitative child labor. See our Human Rights Policy [here](#).

Executive Compensation

Kemper's executive compensation program is designed to attract, retain and motivate the performance of the talent the Company needs to be successful. Kemper provides competitive compensation structured to incentivize performance in support of the Company's strategy and reward executives for achieving the desired financial results and increased shareholder value.



Kemper's Compensation Philosophy is Based on Three Key Principles:

 PAY FOR PERFORMANCE	 ALIGNMENT WITH SHAREHOLDER INTERESTS	 RETENTION OF TALENT
Kemper's compensation program is built upon a total compensation approach with significant performance-based pay "at risk" for senior executives. Variability of compensation should increase at senior executive levels as individuals have a greater ability to drive results.	Use of equity-based compensation aligns the objectives of senior management with the interests of our shareholders. Use of multi-year vesting periods serves to focus senior management on long term, sustainable shareholder value.	Kemper's total compensation program should attract and retain skilled talent.

For more details and information on our Executive Compensation Practices, see our 2024 Proxy Statement [here](#).

Health and Safety

Providing employees and visitors with a safe and healthy environment in our offices and workspaces is critical, and ensuring their awareness of that commitment is a priority. Kemper is committed to conducting business in a manner that protects the health, safety and security of our employees, customers and communities. We are also committed to complying with legal and regulatory requirements as they apply to health and safety, including any obligations related to the recording, managing, and investigating of accidents and injuries that occur to employees on or off premises. This includes, where appropriate, reporting such accidents to relevant external agencies in a timely manner. Our worker's compensation claims have steadily decreased over the past three years. For more details and information on our health and safety programs, see our policies [here](#).

Responsible Investing

As a diversified insurance holding company the primary purpose of Kemper's investment portfolio is to fund future claim payments. As such, we take a risk-adjusted approach to ensure we are compensated for the risks we take. Overall, Kemper maintains a diversified investment portfolio that is exposed to market risks such as interest rate, equity price, and liquidity, as well as regulatory risks.

Kemper considers the impact of climate change factors as part of its strategic investment analysis and planning and understands the value and potential impact of ESG factors to investment returns. ESG factors are considered when relevant in researching, analyzing, and making investment decisions. Examples of portfolio investments include U.S. small/medium-sized businesses, state and local capital improvement projects, opportunity zone investing and solar equity investing. Kemper has historically had limited exposure to the fossil fuel sector and is actively pursuing low carbon opportunities with regards to how we invest as well as how we operate.

The Investment Committee of Kemper's Board of Directors assists the Board of Directors in fulfilling its responsibilities with respect to: (i) reviewing and approving policies and guidelines for Kemper's investment activities,(ii) reviewing the performance of Kemper's investment portfolio and the investment portfolio's compliance with the policies and guidelines, and (iii) monitoring economic conditions and advising management as to options for responding to applicable economic risks. Unless the context otherwise requires, the following references to Kemper's investment portfolio means the combined investment portfolios of Kemper Corporation and its subsidiaries and affiliates.



The Chief Investment Officer’s establishment and maintenance of the investment policies and protocols are supported by the management-level Investment Management Committee (“IMC”), which is responsible for:

- Developing an investment strategy based on Kemper management’s vision
- Devising the investment philosophy
- Implementing an investment strategy within the governance framework
- Evaluating proposed investment opportunities, making portfolio adjustments, and reaffirming the resulting investment strategy and approach
- Considering risk, legal and compliance implications related to investments

In 2023, Kemper developed internal Responsible Investment Guidelines to formalize our existing practices. Additionally, our investment team has incorporated annual training on ESG investments so they remain current on the evolving responsible investments landscape. As of Q2 2023, Kemper has nearly \$3 billion - or 32% of our total portfolio - of ESG-related investments, including the following:

ESG Investment Framework	
Alts and CLO's:	Middle market CLO's: \$230 million (2.6% of the total portfolio) ESG structured bonds \$146 million (1.6%) SBIC Funds: \$134 million (1.5% of the total portfolio) Total commitments to these Small Business Investment Company Funds (regulated by the Small Business Administration) are \$215 million (\$73.1 million remaining commitment)
Municipal bonds:	\$1.8 billion (20% of the total portfolio) \$1.5 billion considered high impact
Corporate green bonds:	\$57 million (~0.6% of the total portfolio)
Opportunity Zone Fund:	\$42 million (~0.5% of the total portfolio)
Agency MBS:	\$390 million (including GNMA's; 4.4% of the total portfolio) Support home ownership (first time home buyers, affordable housing, etc.) Includes California Organized Investment Network (COIN) eligible investments

Data Security and Privacy

At Kemper, we recognize the significance of safeguarding both company and consumer data, as well as respecting consumer privacy. We follow current best practices in data security and privacy, and monitor emerging trends and thought leadership in these areas.

Cybersecurity

To fortify our defense against data security risks, Kemper follows a strategy centered on the following core pillars:

Strong Team of Experts: At Kemper, we have a dedicated team of cybersecurity professionals who are responsible for safeguarding our data systems. Our team includes experts in various areas of cybersecurity, such as network security, incident response, vulnerability management, and risk assessment. They work collaboratively to implement and maintain robust security measures across our organization.

Key Program Frameworks: Kemper follows industry-leading program frameworks to guide our cybersecurity initiatives. We follow the NIST Cybersecurity Framework, which provides a comprehensive and flexible approach to managing and mitigating cyber risks. Additionally, we embrace the Zero Trust Architecture model, which promotes a strict access control strategy based on the principle of “never trust, always verify.” Moreover, we

utilize the Secure Controls Framework (SCF), among other industry best practices, to better achieve a holistic and effective approach to cybersecurity.

Management and Board Interactions: The Risk Committee of Kemper’s Board of Directors monitors the strategies, processes and controls that management deploys to address cyber risks and information security at Kemper. The cybersecurity team keeps the Risk Committee informed about the latest threats, vulnerabilities, and mitigation strategies. Regular interactions, including meetings and management briefings, allow for thoughtful decision-making, resource allocation, and alignment of cybersecurity initiatives with business objectives.

User Training, Access Controls, and Supplier Risk Management: At Kemper, we recognize the importance of employee awareness and engagement in maintaining a strong security posture. We conduct annual training programs to educate our employees about cybersecurity best practices, including safe browsing, email security, and identifying social engineering attacks. Access is granted based on individual business needs. Additionally, we have supplier risk management practices in place to evaluate and mitigate cybersecurity risks associated with our third-party vendors and partners.



Monitoring, Detection and Response: We continuously monitor our IT environment using in-house technologies and external services. These include intrusion detection systems (IDS), security information and event management (SIEM) tools and other threat monitoring and incident response services. They enable detection and response to suspicious cyber security events. Our cyber security incident response plan includes detailed playbooks for common threat scenarios, communication protocols, and containment/recovery protocols. We collaborate with leading incident response and recovery providers as well as outside legal counsel and forensic specialists to prepare for potential incidents.

Program Enhancements/Advancements: Kemper regularly reviews our cybersecurity program. We evaluate emerging technologies, industry trends, and best practices to improve our security posture. Our approach includes adopting new methodologies, tools, and techniques to stay ahead of evolving threats. We invest in research, development, and collaboration with external experts so that our cybersecurity program remains robust, effective, and adaptive to the ever-changing cyber landscape.

Business Continuity: We have established business continuity and disaster recovery plans which encompass protocols for various business disruption scenarios. Among other things, they include risk assessments, recovery objectives and strategies, backup and recovery plans, emergency response procedures, training and awareness, and testing and maintenance.

Auditing: We conduct annual internal and external audits to assess the effectiveness of security controls and identify areas for improvement.

Privacy

Kemper is committed to protecting the privacy of both our customers and their personal information. Our privacy practices require that personal data is handled responsibly and with respect. These practices include the following:



Information Asset Protection: We treat information as a valuable company asset and implement measures to protect it throughout its lifecycle, from creation to disposal. Both physical and digital information are safeguarded based on their sensitivity, value, confidentiality and risk of loss.

Consent-Based Personal Information Usage: We use personal information in a variety of different ways such as processing routine requests by our customers, marketing targeted products and services and to customize and improve our customer's experience. See our [Privacy Policy](#) for more details. Respecting our customers' choices and privacy preferences is of utmost importance.

Safeguards and Access Controls: Kemper maintains a range of safeguards to prevent unauthorized use, access, and disclosure of personal information. We limit access to personal information and enforce controls so that authorized individuals only use it for legitimate business purposes.

By implementing these privacy measures, Kemper aims to uphold the trust of our customers and handle personal information securely and in compliance with applicable privacy laws and regulations.



Transparent Information and Fair Advice for Customers

Kemper has established multiple communication channels for prospects, policyholders and agents during the pre-purchase, purchase and post-purchase phases to ensure effective and efficient communication. Examples of communication channels include the following:

 KEMPER.COM Pre-purchase and Purchase Phase Our website allows visitors to learn about our company, find an agent, start a quote, and learn about Kemper’s product lines. Post-purchase Phase After purchasing insurance, Kemper Auto policyholders can register for online self-service to review policy documents, make online payments, review billing history, and file claims.	 IN-PERSON SERVICES (KEMPER LIFE) Pre-purchase and Purchase Phase As a home service business, our primary communication channel with prospects and customers is our field force. Post-purchase Phase Agents will deliver policies directly to the policyholders in their homes, as well as assisting with additional services and collecting monthly premiums.
 CUSTOMER SUPPORT Pre-purchase and Purchase Phase Customers may contact Kemper by calling our customer service team, emailing, or sending a message through our website’s “Contact Us” page. Post-purchase Phase Customers may use our customer support services to get assistance with paying bills or making changes to their policy, such as beneficiaries.	 AGENT PORTAL There are different Kemper agent portals depending on the line of business. Within the online portal, agents can sign up for training sessions and watch pre-recorded presentation videos on our products and services. Agents also have online access to valuable collateral about products to help educate their customers to select the best insurance for their needs.

Kemper is committed to delivering on the promises of our policies while ensuring our products remain affordable and competitively priced. We maintain robust standards, procedures and audit protocols for claims handling and processing to ensure eligible claims are paid with efficiency and accuracy.

To ensure we provide service that meets our customer’s expectations, we routinely assess customer feedback to identify opportunities to improve service processes. Based on these assessments, we modify our processes and implement trainings to respond to the feedback we

received. For example, in 2022 we provided training and workshops related to emotional intelligence to ensure our employees have the tools necessary to empathize and assist our customers. We also enhanced our technical training related to conducting investigations, business writing and vehicle inspections.



KEMPER